

China FX/Rates Monitor: Resilient CNY amid Dollar Strength, Low Rates amid Growth Weakness

Our monitor tracks the latest developments and identifies key indicators for China FX and rates, including valuations/policy stance, technicals, flows, and fundamentals. Below we summarize our key takeaways on the China FX and rates markets.

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- **Growth worries have increased, but expectations for broad easing remain low.** May activity data suggests domestic demand has weakened visibly. Retail sales fell 0.6% yoy in May, and the single-month FAI declined 10.6% yoy. Retail sales weakness partly reflected the fading boost from trade-in subsidies and a high base, while FAI weakness was mainly driven by slower fiscal policy implementation and still-weak property investment. Our growth decomposition suggests domestic demand grew only by 1-2% yoy in April-May. While nominal export growth remained strong, real export growth slowed to around 4.5% yoy in the recent two months, down from 15.2% yoy in Q1. Taken together, these point to risks of below 4.5% yoy real GDP growth in Q2, in line with clients' growing concerns over slower economic activities. That said, expectations for broad easing remain muted: the 4.5-5.0% growth target range gives policymakers more tolerance for temporary growth softness, and China's policy reaction function has remained reactive rather than proactive. In our view, the near-term policy response is more likely to come through faster fiscal policy implementation, ample interbank liquidity and targeted credit easing. The July Politburo meeting will be the next key window to watch for policy signals.
- **CNY resilience remains in place despite a stronger Dollar.** USD/CNY spot moved down to the 6.75 handle in the first half of June, but moved back to the 6.79 handle after the June FOMC meeting, leaving June largely a round trip for CNY against the Dollar. The renewed depreciation pressure mainly comes from wider US-China rate differentials, reflecting higher US front-end rates. That said, DXY rose roughly 2% in June, while CNY depreciation against the Dollar was limited, suggesting the policy anchor behind RMB resilience remains in place. As a result, the CFETS RMB index rose around 2% in June. In the near term, we expect USD/CNY to stay range-bound through the summer: the pace of fixing decline may not be fast enough to offset the positive carry from long USD/CNY positions, but increased exporter conversion on higher USD/CNY should cap upside. The policy preference, and market expectation, for gradual CNY appreciation against the Dollar remain intact. A potential visit by President Xi to the US in late September and a fading of Fed hike expectations could be the next catalysts for renewed CNY strength against the Dollar. More broadly, we expect CNY to outperform other currencies amid USD strength. EUR/CNY has drawn

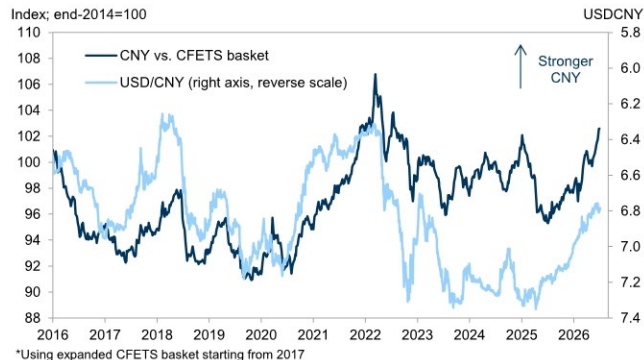
increasing investor attention, as momentum to short EUR and buy CNH has risen. RMB appreciation against the euro has fundamental support from China's rising trade surplus with Europe, while also helping respond to European concerns about RMB undervaluation.

- **Rates should stay low, but the bond yield curve may remain steep.** Cash yields and swap rates remained low in June despite limited expectations for policy rate cuts and quarter-end liquidity demand. On fundamentals, weak domestic demand and lower oil prices argue for interest rates to stay at relatively low levels, especially for front-end rates. Although June PPI inflation likely increased further in year-over-year terms, it was likely near a peak as oil prices declined materially, while core CPI inflation remained soft due to lower gold and tourism-related services prices. On flows, soft loan demand suggests that banks may continue to allocate more funds to bond investment. In addition, the PBOC's introduction of overnight reverse repos, with the reported operation rate below the policy rate, points to a policy preference for keeping interbank liquidity ample. These factors should anchor front-end rates at low levels. Further out the curve, faster fiscal policy implementation with more ultra-long term CGB auctions in Q3 could limit the downside in longer-tenor yields. We therefore expect 10y CGB yields to remain low but range-bound, while the 10s30s slope could stay relatively steep.

Foreign Exchange

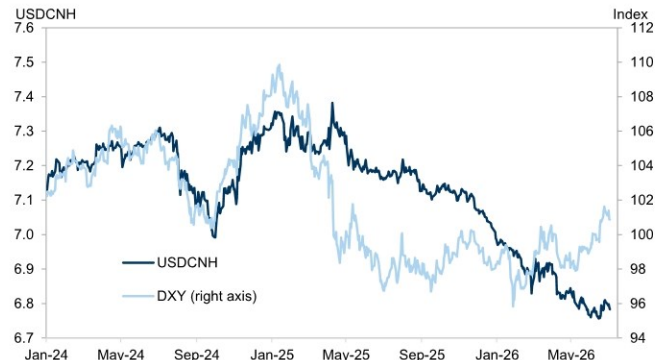
1. Valuations and policy stance

Exhibit 1: CNY appreciated against CFETS basket by around 2% in June, while USD/CNY spot hovered at around 6.80



Source: Bloomberg, Wind

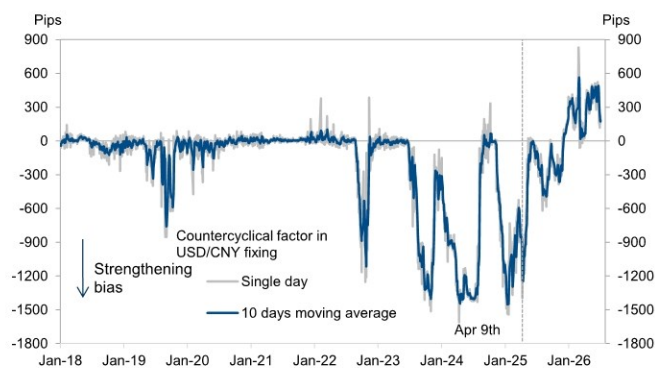
Exhibit 2: USD/CNH spot remained broadly stable around 6.80 in June despite a stronger Dollar



DXY: US Dollar Index, which measures the value of the US Dollar vs. a basket of currencies.

Source: Bloomberg

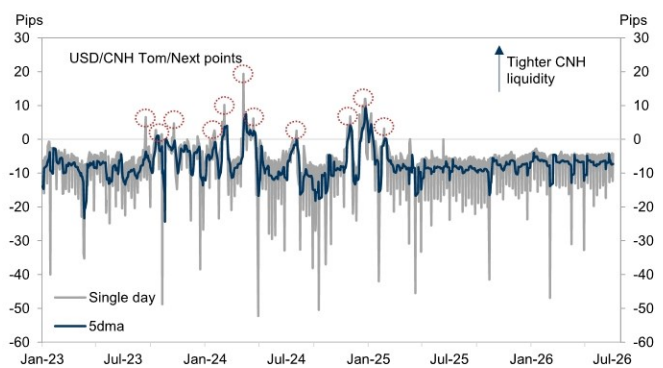
Exhibit 3: Countercyclical factor narrowed to around +200pips in June



We measure the countercyclical factor by calculating the difference between the official daily CNY fixing and our estimation of the fixing based on official documents of CNY fixing mechanism.

Source: Bloomberg, Data compiled by Goldman Sachs Global Investment Research

Exhibit 4: USD/CNH Tom/Next points moved sideways over the past few months

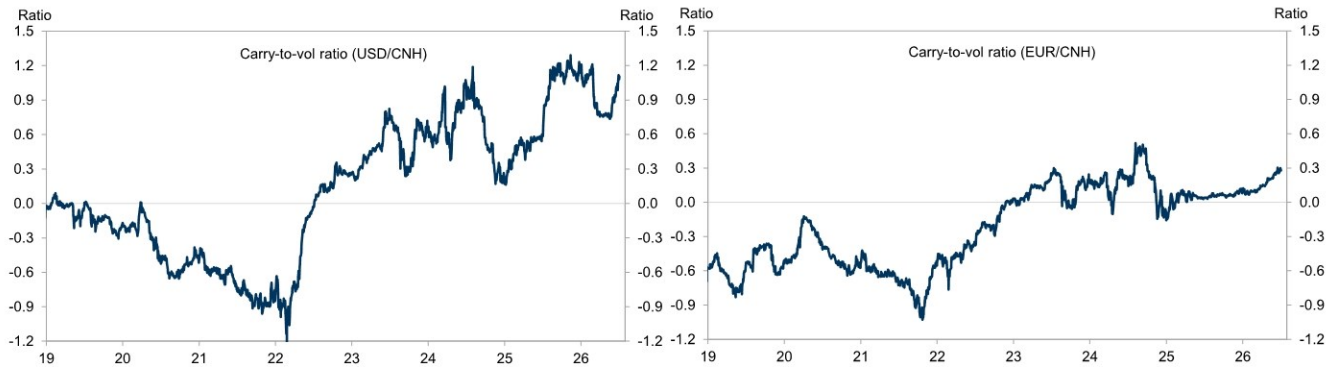


Tom/Next (Tomorrow next) is a short-term FX swap allowing investors to roll over their spot position. Positive (negative) Tom/Next points mean negative (positive) carry returns of long USD short CNH. Red circles indicate the timing of front-end CNH liquidity shortage (potential CNH liquidity management by the authorities).

Source: Bloomberg, Data compiled by Goldman Sachs Global Investment Research

2. Technicals

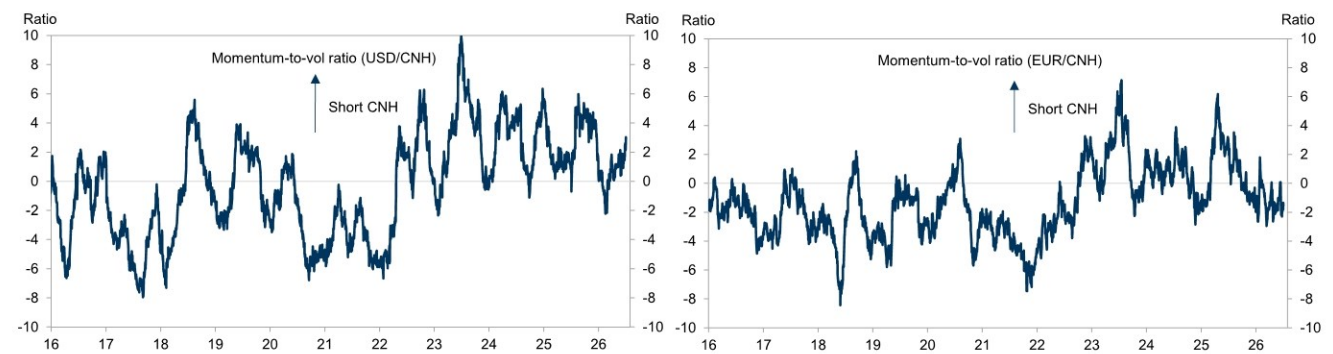
Exhibit 5: Carry-to-vol ratio for USD/CNH rose notably in June



Carry is defined as annualized carry returns of 3m USD/CNH / EUR/CNH forward, and volatility refers to 3-month rolling realized volatility of FX total returns.

Source: Bloomberg, Goldman Sachs Global Investment Research

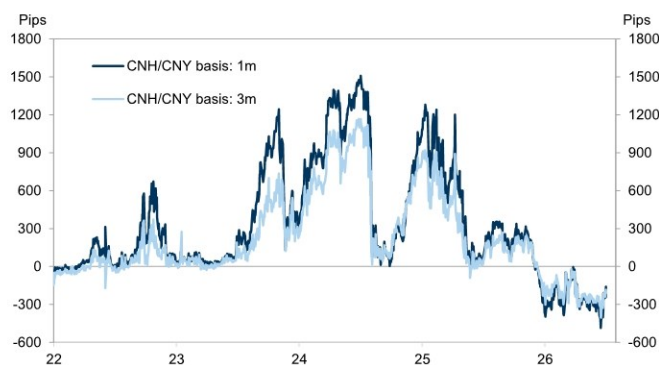
Exhibit 6: Momentum to buy USD and sell CNH rose in June, while momentum to buy CNH and sell EUR continued



Momentum is defined as 3-month cumulative FX total returns, and volatility refers to 3-month rolling realized volatility of FX total returns.

Source: Bloomberg, Goldman Sachs Global Investment Research

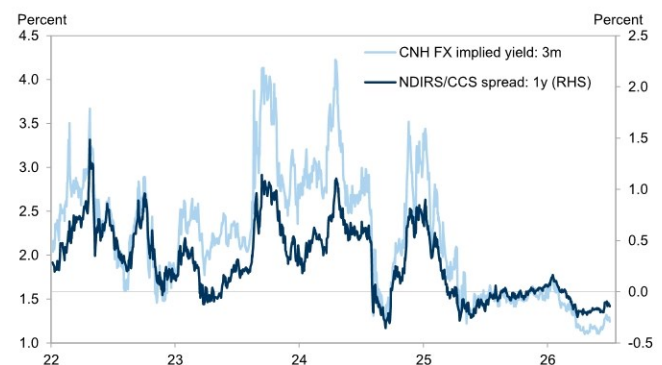
Exhibit 7: CNH/CNY basis narrowed to around -200pips in late June



CNH/CNY basis is defined as the difference between deliverable forward of USD/CNH and non-deliverable forward of USD/CNY.

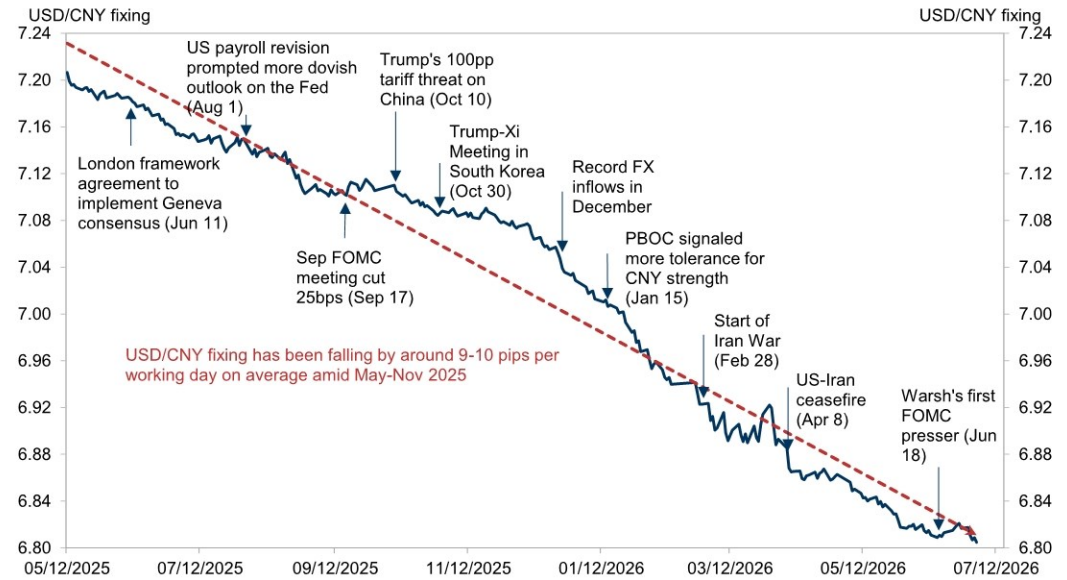
Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 8: Cross-currency swap rate remained below NDIRS rate in June



NDIRS/CCS spread: CNH cross-currency swap rate minus CNY non-deliverable interest rate swap rate.

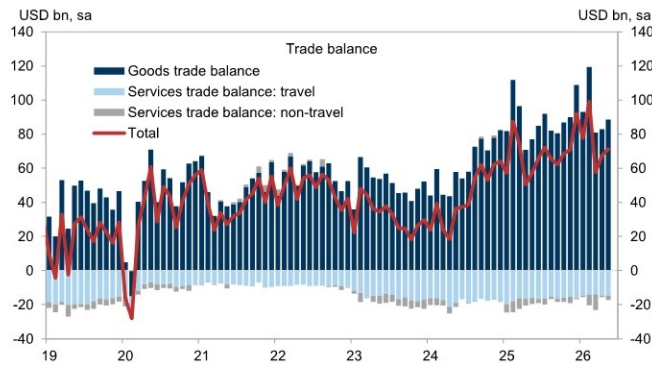
Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 9: USD/CNY fixing moved sideways amid a stronger Dollar

Source: PBOC

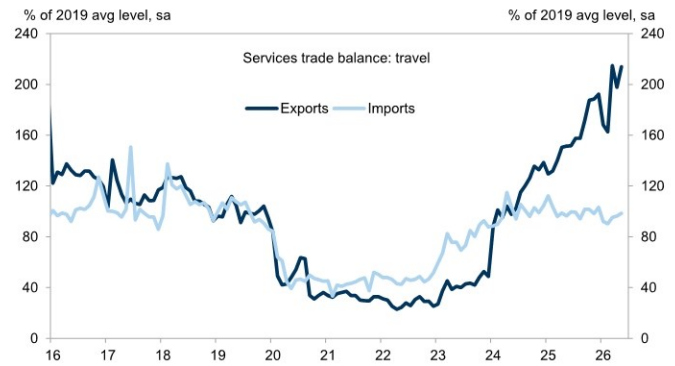
3. Fundamentals

Exhibit 10: China's trade balance rose in May on higher goods trade surplus



Source: Haver Analytics, Goldman Sachs Global Investment Research

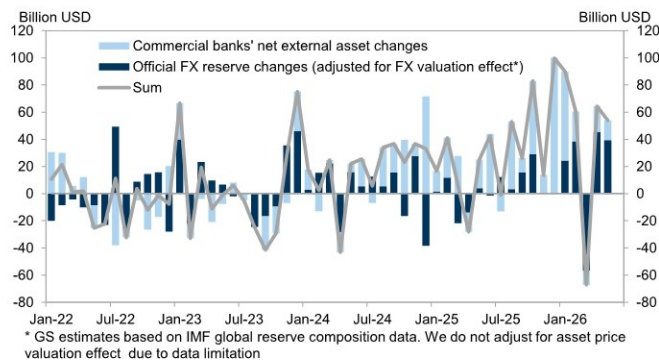
Exhibit 11: China's travel exports stood at about 214% of 2019 levels in May 2026, and travel imports were around 99% of 2019 levels



Travel imports are defined as the overseas spending of China's residents for tourism, education and medical services; travel exports are defined as non-residents' spending in China. Both include tourism spending.

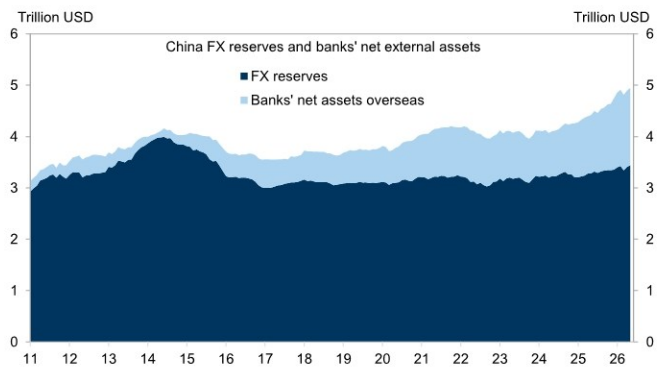
Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 12: Both banks' net external assets and official FX reserves rose from April to May



Source: PBOC, CEIC, Data compiled by Goldman Sachs Global Investment Research

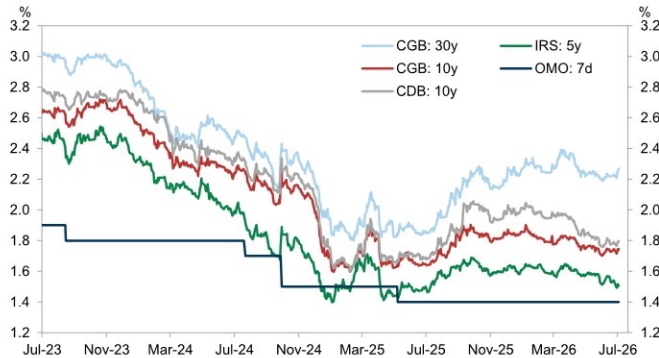
Exhibit 13: As of May 2026, China's official FX reserves stood at USD 3442bn, while commercial banks held USD 1505bn net external assets



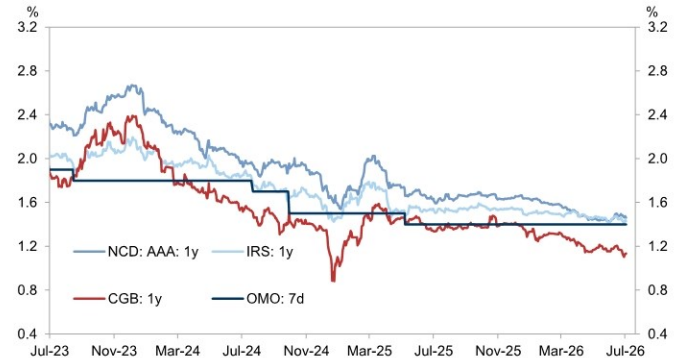
Source: PBOC, CEIC, Data compiled by Goldman Sachs Global Investment Research

Rates

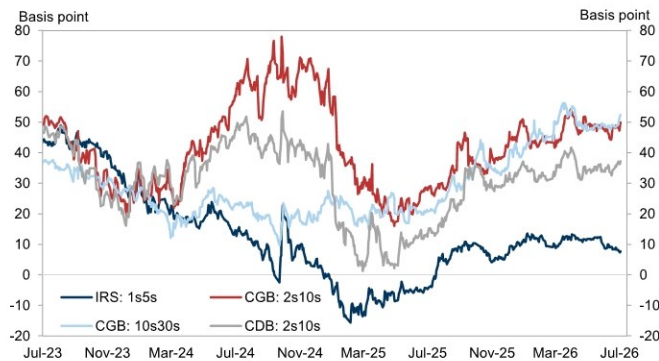
1. Levels and term structure

Exhibit 14: 10y CGB yields moved sideways in June while 30y CGB yields edged up

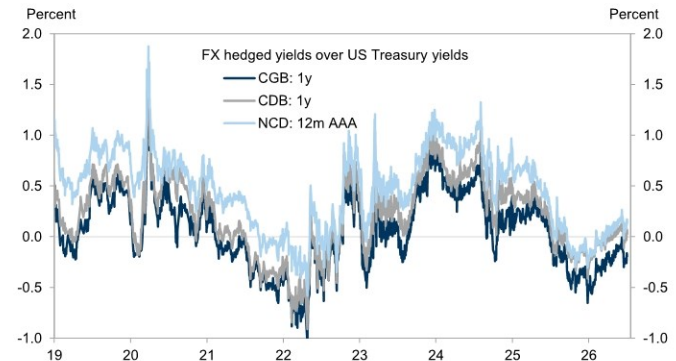
Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 15: Front-end yields trended lower in June

Source: Wind

Exhibit 16: Cash bond curve steepened in June while IRS curve flattened

Source: Wind, Goldman Sachs Global Investment Research

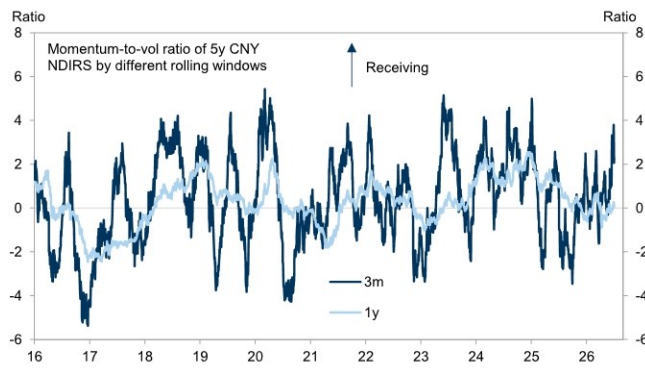
Exhibit 17: FX hedged yields of short-term bonds declined relative to UST yields in June, primarily reflecting the rise in US front-end rates

CGB: Central government bonds, CDB bond: bonds issued by China Development Bank, NCD: Negotiable certificates of deposit.

Source: Bloomberg, Wind, Goldman Sachs Global Investment Research

2. Technicals

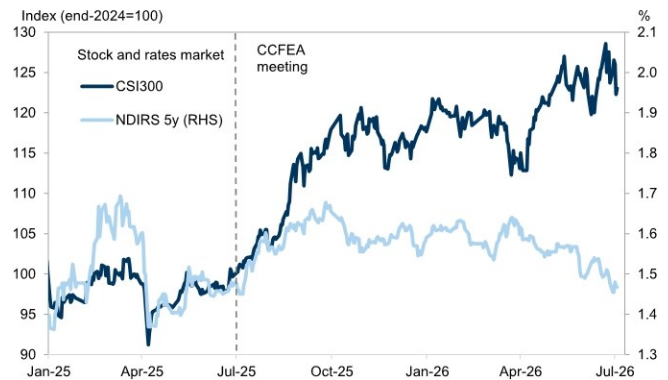
Exhibit 18: Short-term momentum to receive CNY rates rose notably in June



Momentum is defined as annualized rolling spot returns for a period, and volatility refers to realized volatility of spot returns for a period.

Source: Bloomberg, Goldman Sachs Global Investment Research

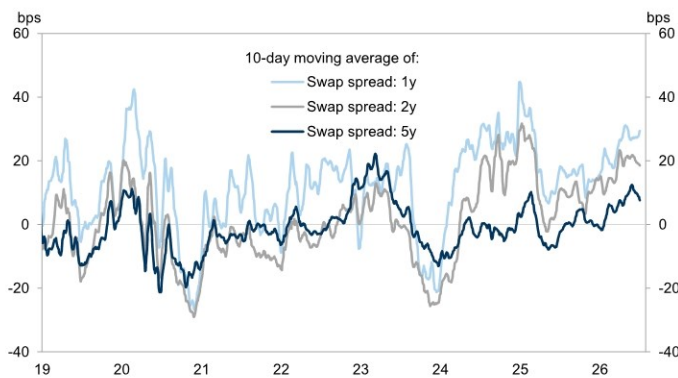
Exhibit 19: Equities moved lower and IRS rates declined in late June



The Central Commission for Financial and Economic Affairs (CCFEA) meeting chaired by President Xi on 1 July called for regulating disorderly price-cutting and excessive competition among producers.

Source: Bloomberg, Wind

Exhibit 20: Longer-tenor swap spreads tightened in June

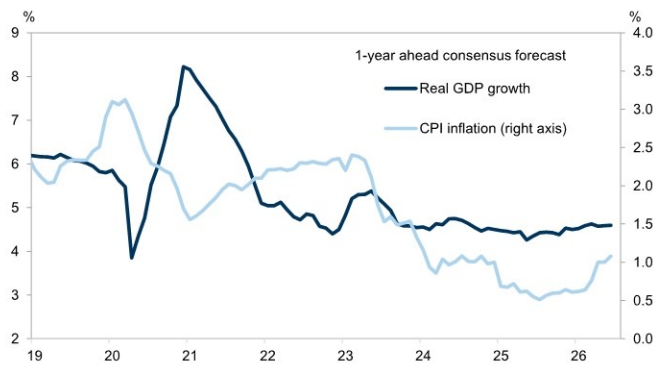


Swap spread: onshore IRS rates minus CGB yields.

Source: Wind, Goldman Sachs Global Investment Research

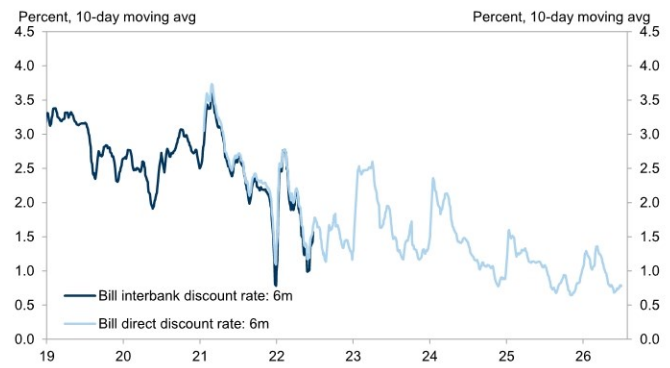
3. Fundamentals

Exhibit 21: 1-year ahead consensus forecast of CPI inflation edged up in June



Source: Consensus Economics, Goldman Sachs Global Investment Research

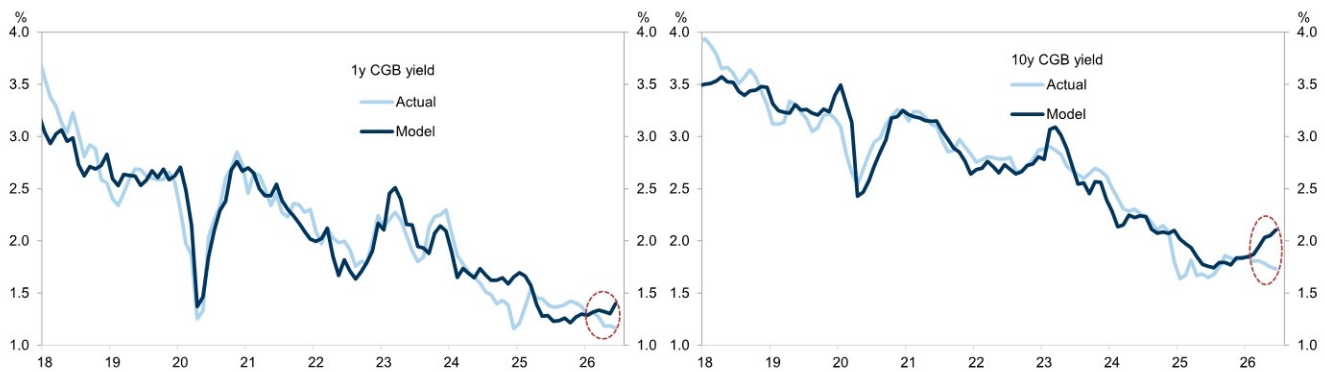
Exhibit 22: Bill discount rate picked up somewhat in June but remained low



Bill interbank discount rates discontinued since June 2022. As interbank discount rates co-move with direct discount rates closely, we use direct discount rate as a proxy thereafter.

Source: Wind, Goldman Sachs Global Investment Research

Exhibit 23: Both 1y and 10y CGB yields fell below model implied “fair value” since March 2026

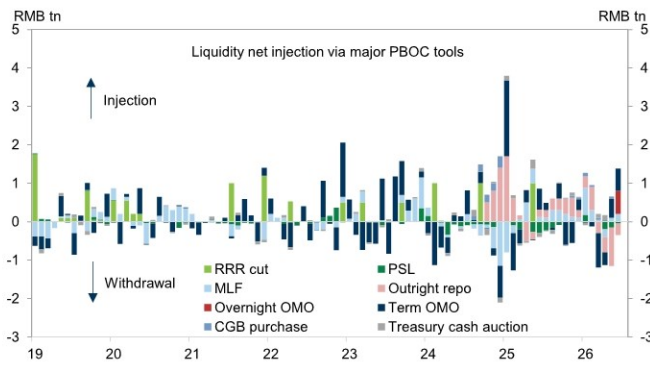


We calibrate a simple OLS model to examine the drivers of CGB yields, including 1-year ahead growth/inflation forecast, 1y/10y UST yields, and the spread between OMO target and 7d repo fixing. We adjust the model output from August 2025 to reflect the removal of the VAT exemption on interest income.

Source: Wind, Goldman Sachs Global Investment Research

4. Liquidity and leverage

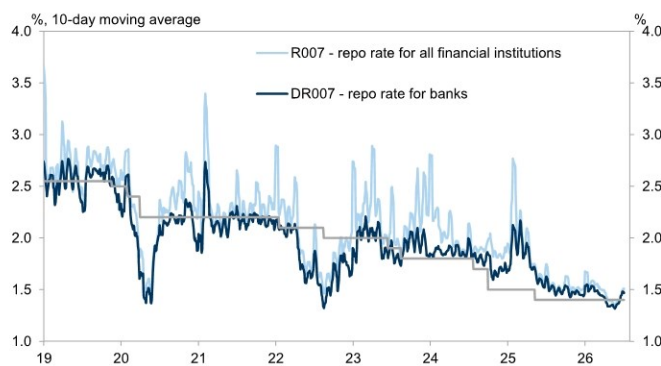
Exhibit 24: The PBOC conducted liquidity injection mainly through OMOs in June



Term OMO: open market operation with a maturity longer than overnight (i.e., 7d/14d/1m pledged reverse repos); MLF: medium term lending facilities; PSL: pledged supplementary lending.

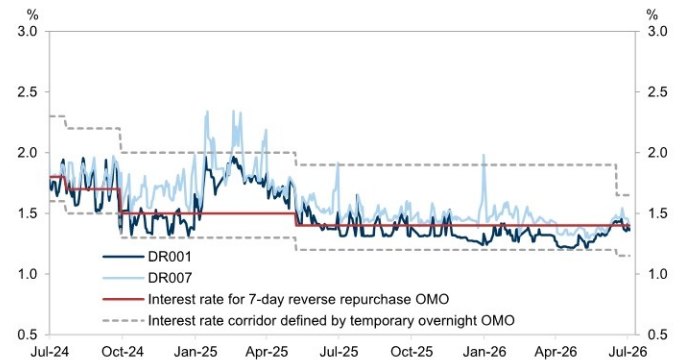
Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 26: 7-day interbank repo rates rose above the OMO target in June



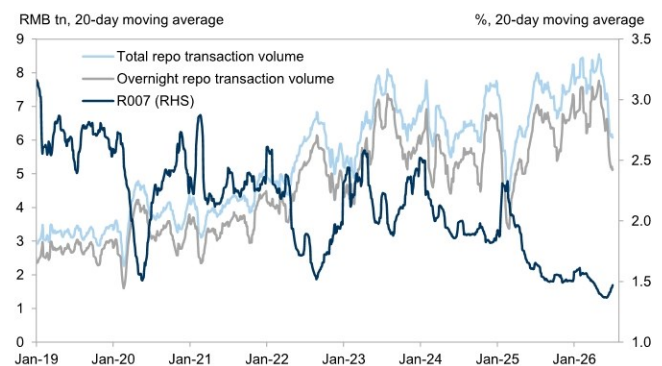
Source: Wind, Goldman Sachs Global Investment Research

Exhibit 25: The overnight repo rate for banks spiked in mid-June before returning to slightly below the policy rate



Source: CEIC, Goldman Sachs Global Investment Research

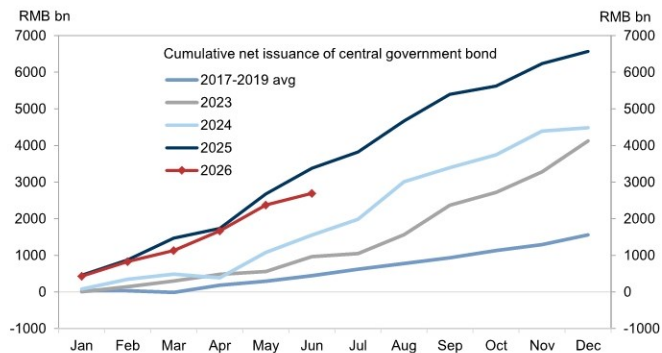
Exhibit 27: Financial leveraging in the bond market moderated as repo rates rose in June



Source: Wind, Goldman Sachs Global Investment Research

5. Bond supply and demand

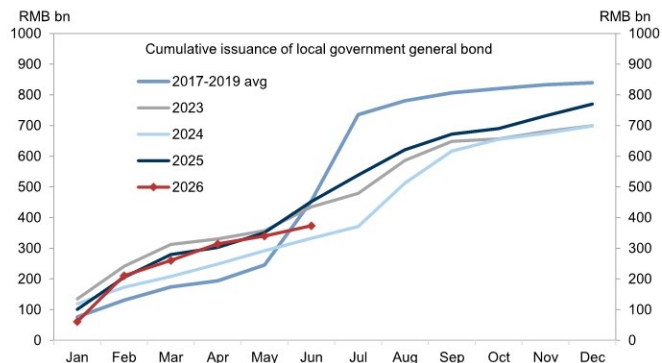
Exhibit 28: Net issuance of central government bonds was around RMB 318bn in June, slower than the pace in 2025



As of June 2026, the central government has utilized 40% of the annual CGB issuance quota. Central government bonds include both central government general bonds and central government special bonds.

Source: Wind, Goldman Sachs Global Investment Research

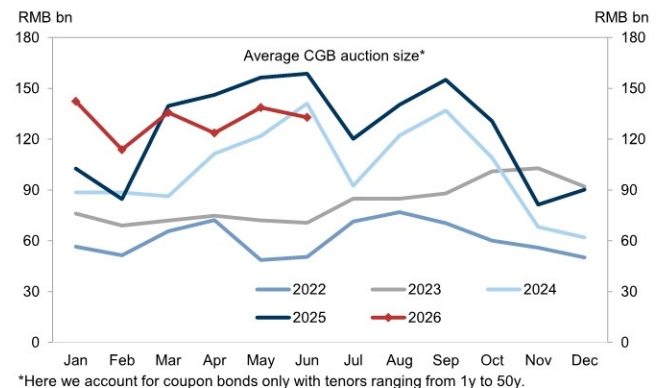
Exhibit 30: Net issuance of local government general bonds was around RMB34bn in June



As of June 2026, local governments have utilized 47% of their general bond issuance quota. Here we refer to local government general purpose new bonds. We do not include those for refinancing and debt swaps.

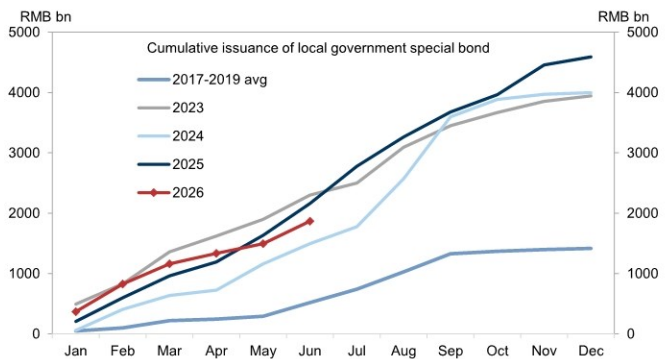
Source: Wind, Goldman Sachs Global Investment Research

Exhibit 29: The average CGB auction size in June was lower than levels seen in 2025



Source: Wind, Goldman Sachs Global Investment Research

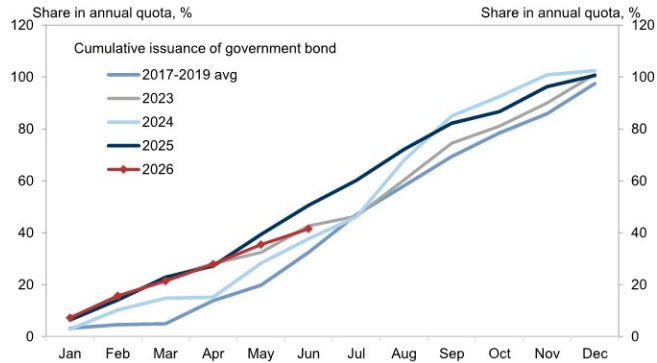
Exhibit 31: Issuance of local government special bonds was around RMB 372bn in June, faster than April and May



As of June 2026, local governments have utilized 43% of their special bond issuance quota. The central government approved additional RMB500bn quota for LGB issuance in Q4 2025, with RMB200bn earmarked for LGSB issuance. Here we refer to local government special purpose new bonds. We do not include those for refinancing and debt swaps. In 2022, the government approved around RMB500bn additional quota for LGSB issuance.

Source: Wind, Goldman Sachs Global Investment Research

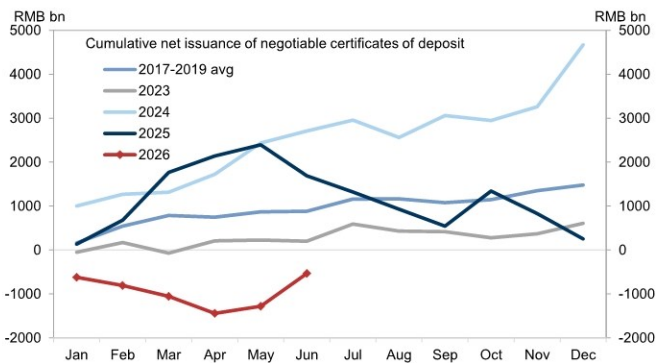
Exhibit 32: Government bond quota usage at 41.5% as of June, much slower than last year



Government bond issuance quota includes those approved during the Two Sessions for general and special bonds issued by both central and local governments, but excludes refinancing bonds issued by local governments. Year-end figure may exceed 100%, as the MOF occasionally approves additional quotas for local government bonds late in the year.

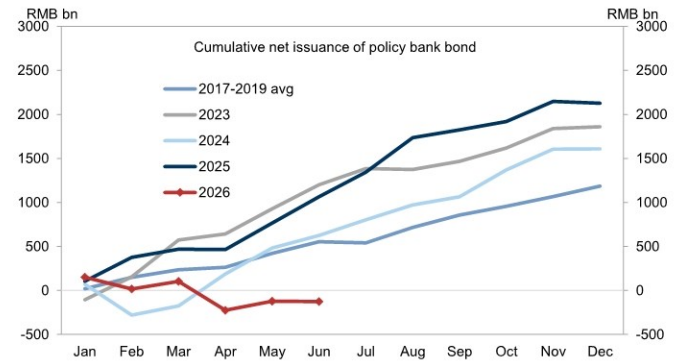
Source: Wind, Goldman Sachs Global Investment Research

Exhibit 34: The outstanding amount of NCD increased by RMB 747bn in June



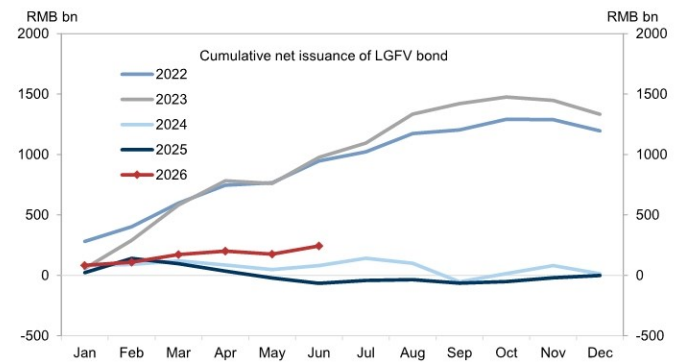
Source: Wind, Goldman Sachs Global Investment Research

Exhibit 33: The outstanding policy bank bonds declined slightly in June



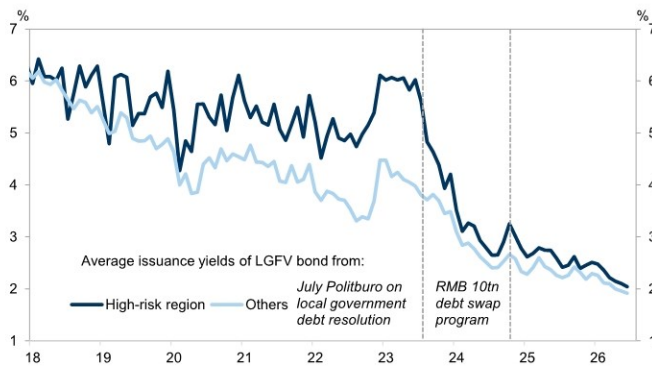
Source: Wind, Goldman Sachs Global Investment Research

Exhibit 35: Year-to-date LGFV bond net issuance was RMB243bn as of June



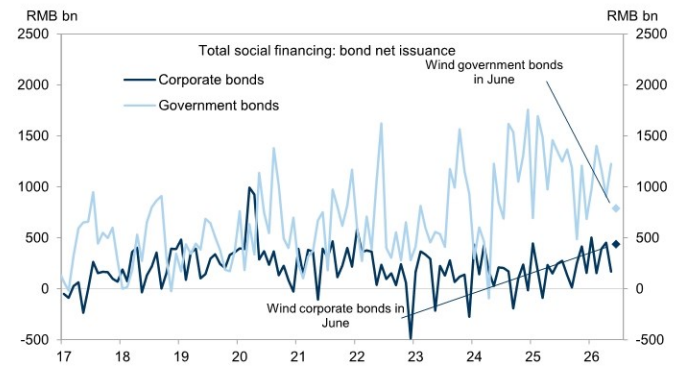
We revamp our LGFV bond issuance tracker based on the list of LGFVs from YY rating.

Source: Wind, Goldman Sachs Global Investment Research

Exhibit 36: LGFV bond issuance yields edged down in June

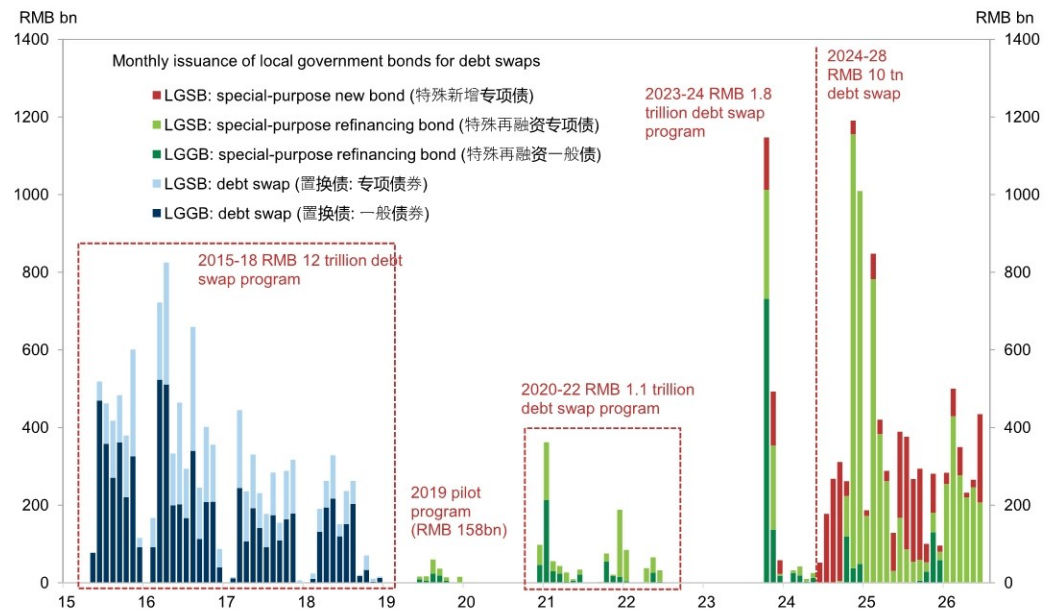
We calculate size-weighted average of issuance yields. High-risk region includes Tianjin, Inner Mongolia, Liaoning, Jilin, Heilongjiang, Guangxi, Chongqing, Guizhou, Yunnan, Gansu, Qinghai, and Ningxia.

Source: Wind, Goldman Sachs Global Investment Research

Exhibit 37: Government bond net issuance under Total Social Financing (TSF) fell from May to June (around RMB 789bn), while corporate bond net issuance rose

Here we adjust government bond issuance data for the statistical discrepancies between Wind and TSF.

Source: Wind, Goldman Sachs Global Investment Research

Exhibit 38: Special-purpose refinancing bond issuance was around RMB 1.6 trillion in H1 2026 (around 82% of the 2026 quota), while LGSB special-purpose new bond issuance was around RMB 431bn (54% of the 2026 quota)

LGGB stands for local government general bond, and LGSB stands for local government special bond. General bonds finance non-revenue public works (e.g., fire stations) and are repaid by general public budget revenues, such as taxes. Special bonds fund revenue-generating projects (e.g., toll highways) and are repaid via designated project income. The latest debt swap program includes 1) RMB 800bn of special-purpose new bond annually in 2024-28, and 2) RMB 2 trillion of refinancing bond per year in 2024-26. Unused local government bond quota was deployed for debt resolution in both Q4 2024 and Q4 2025, amounting to RMB 400bn and RMB 300bn, respectively.

Source: Wind, Goldman Sachs Global Investment Research

Exhibit 39: Banks bought government bonds and NCDs in May

Single month flow of bond demand by investors in May 2026

RMB bn	Rates bonds			Non-financial credit bonds					NCD	Commercial bank bond
	CGB	LGB	PBB	Enterprise bond	SCP	CP	MTN	PPN		
Commercial banks	650.2	1039.4	197.3	-6.5	-10.2	22.9	-73.2	-3.9	287.9	-84.7
Funds	148.8	167.7	-94.5	-5.3	-45.6	-8.4	138.6	8.2	-250.3	-71.9
Foreign investors	61.1	1.5	13.5	0.0	-0.8	0.0	1.6	0.0	7.0	-0.3
Securities	70.7	-10.4	1.5	-2.5	-2.5	1.9	-8.7	-2.2	-19.3	-12.0
Insurance	12.6	34.3	-4.6	-0.3	0.0	0.0	5.8	0.0	0.3	-8.0

CGB: Central government bonds, LGB: Local government bonds, PBB: Policy bank bonds, NCD: Negotiable certificate of deposits, SCP: Super & short-term commercial paper, CP: Commercial paper, MTN: Medium term note, PPN: Private placement note.

Source: Wind, Goldman Sachs Global Investment Research

Appendix: Summary of FX policy announcements and market color

In this appendix, we summarize the major FX policy announcements since 2020 as well as notable FX-related news in China. Following the classification in [a previous note](#), each announcement is labeled as one of four groups: price, liquidity, capital flow and verbal guidance. In the event of a sharp exchange rate move, such as a 1% depreciation in 10 days, the PBOC may step in to stabilize the USDCNY spot rate with various tools. The impacts tend to be short-lived on a daily basis, but they do slow the pace of exchange rate moves (please see our [previous note](#) for additional details).

Exhibit 40: A summary of major FX policy (and related news) to stabilize exchange rates

Date	Category	FX policy and market color
Mar-20	Capital flow	PBOC and SAFE announced that the macro-prudential adjustment parameter for cross-border financing of financial institutions would be increased from 1 to 1.25
Oct-20	Liquidity	PBOC lowered the risk reserve requirement ratio for FX forward sales from 20% to 0%
Oct-20	Price	Media reported that CNY countercyclical factor was phased out
Dec-20	Capital flow	PBOC and SAFE reduced macro-prudential adjustment parameter for cross-border financing of financial institutions from 1.25 to 1
Dec-20	Price	Media reported that China's major state-owned banks were seen buying U.S. dollars to ease sharp yuan rally
Jan-21	Capital flow	PBOC adjusted the currency conversion factor of foreign currency overseas loan balance to 0.5 from 0
Jan-21	Capital flow	PBOC and SAFE raised macro-prudential adjustment parameter for overseas lending by domestic enterprises from 0.3 to 0.5
Jan-21	Capital flow	PBOC and SAFE lowered macro-prudential adjustment parameter for cross-border financing of enterprises from 1.25 to 1
Jun-21	Liquidity	PBOC raised the foreign exchange deposit reverse ratio from 5% to 7%
Dec-21	Liquidity	PBOC further increased the foreign exchange deposit reverse ratio from 7% to 9%
May-22	Liquidity	PBOC announced to lower the foreign exchange deposit reverse ratio from 9% to 8%, the first downward revision since 2017
Sep-22	Liquidity	PBOC lowered the foreign exchange deposit reverse ratio from 8% to 6%
Sep-22	Price	Media reported that the Chinese monetary authorities revived CNY countercyclical factor
Sep-22	Liquidity	PBOC raised the risk reserve requirement ratio for FX forward sales from 0% to 20%
Sep-22	Price	Media reported that PBOC has asked major state-owned banks to sell dollars for yuan in offshore markets
Oct-22	Capital flow	PBOC and SAFE decided to increase macro-prudential adjustment parameter for cross-border financing of both financial institutions and enterprises from 1 to 1.25
Oct-22	Price	Media reported that China's key state-owned banks sold U.S. dollars to prop up the weakening yuan in both onshore and offshore spot markets
Jun-23	Price	Media reported that PBOC set a stronger-than-expected trading band for the yuan and state banks sold dollars
Jul-23	Capital flow	PBOC and SAFE further raised macro-prudential adjustment parameter for cross-border financing of both financial institutions and enterprises from 1.25 to 1.5
Jul-23	Price	Media reported that China's key state-owned banks were seen selling U.S. dollars to support yuan in both onshore and offshore spot markets
Aug-23	Price	Media reported that China's commercial banks were asked to reduce or postpone their purchases of U.S. dollars to slow the yuan's depreciation
Aug-23	Price	Media reported that China's major state-owned banks were seen a few times selling U.S. dollars to buy yuan in both onshore and offshore spot foreign exchange markets to slow the yuan's depreciation
Aug-23	Price	Media reported that PBOC was seen squeezing the CNH funding
Aug-23	Price	Media reported that PBOC has asked some domestic banks to limit some Bond Connect outflows to ensure less supply of yuan in offshore markets
Sep-23	Liquidity	PBOC announced to lower the foreign exchange deposit reverse ratio from 6% to 4%, starting from 15th Sep
Sep-23	Price	Media reported that PBOC has asked some big banks to stagger and adjust dollar purchases to alleviate downward pressure on the yuan
Sep-23	Capital flow	Media reported PBOC approval required for bulk USD purchases of more than USD50mn
Sep-23	Liquidity	CNH funding remained tight in September on additional RMB10bn issuance of PBOC CNH bills and window guidance to state banks
Oct-23	Capital flow	Media reported that CSRC has banned new offshore brokerage investments by existing mainland clients to prevent investors from bypassing China's foreign exchange controls
Nov-23	Price	Media reported that China's major state-owned banks are actively buying yuan to speed up its recovery against weaker dollar
Nov-23	Capital flow	SAFE is working on simplifying forex procedures by rolling back requirements on the outflow of funds for the dollar-denominated qualified foreign institutional investor scheme (QFII) and its yuan-denominated sibling, RQFII, among other optimized procedures
Dec-23	Price	Media reported that China's major state-owned banks actively sold dollars to support yuan
Jan-24	Liquidity & Price	Media reported that China's major state-owned banks tightened offshore CNH liquidity and actively sold dollars onshore to support yuan as stock markets tumbled
Mar-24	Price	Media reported that China's major state-owned banks actively sold dollars for yuan
Apr-24	Price	Media reported that China's major state-owned banks actively sold dollars for yuan
Jun-24	Price	Media reported that China's major state-owned banks actively sold dollars for yuan
Aug-24	Price	Media reported that China's major state-owned banks bought dollars amid rapid yuan gains
Jan-25	Verbal	PBOC pledged to enhance the "resilience" (韧性) of FX market rather than the "flexibility" (弹性), suggesting a shift toward controlling the speed of depreciation upon US tariff announcements
Jan-25	Capital flow	PBOC and SAFE further raised macro-prudential adjustment parameter for cross-border financing of both financial institutions and enterprises from 1.5 to 1.75
Apr-25	Price	Media reported that China's major state-owned banks actively sold dollars to stabilize USDCNY spot
May-25	Price	Media reported that China's major state-owned banks bought dollars amid rapid yuan gains
Jul-25		<i>Reuters reported that PBOC surveyed banks on USD weakness, signaling concerns over sharp CNY appreciation</i>
Aug-25		<i>Reuters reported that China's exporters bet on a steady Yuan with record high sales of USD/CNY option, avoiding FX conversions</i>
Sep-25	Price	Bloomberg reported that China's major state-owned banks actively bought dollars to slow CNY appreciation
Dec-25	Price	Reuters reported that China's major state-owned banks actively bought dollars to slow CNY appreciation
Mar-26	Liquidity	PBOC lowered the risk reserve requirement ratio for FX forward sales from 20% to 0%
Mar-26	Capital flow	PBOC and SAFE raised macro-prudential adjustment parameter for overseas lending by domestic enterprises from 0.5 to 0.6
Jun-26	Liquidity	Media reported that China's major state-owned banks raised USD deposit rates

Note: There were very likely more capital control measures during this period that were not formally announced/confirmed. Please refer to examples in Asia Economics Analyst: Positive structural developments could help offset capital outflow pressures in China, August 2019.

Source: Reuters, Data compiled by Goldman Sachs Global Investment Research

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